

1. Big Picture — How the Business Looks Right Now

The business is experiencing severe financial distress with collapsing profitability despite maintaining revenue levels. April 2025 shows catastrophic performance with a -62.3% net profit margin and negative equity of -₹407.8M. Cash flow management remains challenging with negative operating cash flows in most periods, though April shows some improvement in cash generation. The company faces an existential threat with deteriorating fundamentals across all key metrics.

GREEN FLAG BOX — What's Working Well:

- ▣ Sales maintained at ₹966.7M in April despite market challenges
- ▣ Debt reduction from ₹476.6M to ₹368.1M (22.7% decrease)
- ▣ Improved working capital days from 37.6 to 13.9 days

RED FLAG BOX — What Needs Attention:

- △ Catastrophic net loss of -₹602.1M in April 2025
- △ Negative equity position of -₹407.8M indicating insolvency risk
- △ Gross margin collapse to -60.7% due to COGS exceeding sales

Business Health Indicators:

Overall Health Gauge: ▣ CRITICAL

Sales–Profit–Cash Trend Line:

Sales: 935M → 1,021M → 1,252M → 967M
Profit: -34M → -13M → -49M → -602M ▣
Cash Flow: -1,009M → -251M → 274M → 548M